::""::SUBJECTIVE Mid Term MGT 603::""::

Solved by
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Question No: 29 (Marks: 3)
Planning function is mostly carried out by managers in strategy formulation stage. What activities are performed under this function?
Strategic formulation means a strategy formulate to execute the business activities. Strategy formulation Includes developing:-
1-Vision and Mission Statement (target of the organization)
2-Stregnths and Weaknesses.(Internal factors.)
3-Opportunities and Threats.(External factors)
Strategy formulation is concerned with setting long term goals and objectives, generating strategies to achieve those goals.
Strategy formulation is also concerned with setting **long term goals and objectives**, generating alternative strategies to achieve that long term goals and choosing particular strategy to pursue.
Page #3&4
Question No: 30 (Marks: 3)
What should be the characteristics of a firm that is successfully pursuing a Cost Leadership Strategy? Enlist any six of them.
Answer:
Six characteristics of successfully pursuing cost leadership strategy firm:
1-Limited perks.
2-High efficiency.
3- Low overhead.
4-Wide spans of control.
5-Intensive screening of budget.
6-Employees participation in cost control efforts**.page#86**

Question No: 31 (Marks: 5)
List down and explain five steps that comprise an effective framework for conducting an IFE Matrix.
Steps involved in the development of IFE Matrix:

1-List any internal factors identified in the internal audit. Only ten to twenty factors will be enough including strengths and weakness. Use percentage, ratios and comparative numbers.
2-Assign weights to each factor ranging from 0 to 1.The rates assigned indicate the relative importance of each factor to being successful. Sum of all weights must be equal to 1.
3-Assign 1-4 rating to each factor to see whether the factor represents major weakness (rate=1) or minor weakness (rate=2), minor strength (rate =3) or major strength (rate=4).
4- Multiply each factor's weights to its ratings to determine its weighted score.
5-Sum the weighted score of each variable page#47

Question No: 29 (Marks: 3)

What activities are performed in strategy evaluation stage under controlling function of management?

Controlling function of management includes all those activities undertaken to ensure that actual operations conform to planned operations. Controlling function of management is particularly important for effective strategy evaluation. Controlling function of management has the following activities in strategy evaluation.

1. Establishing performance standards
2. Measuring individual and organizational performance
3. Taking corrective actions
4. Comparing actual performance to planned performance standards page#59

Question No: 30 (Marks: 3)

In your opinion, what can be the circumstances when a Low Cost Producer in an industry brings effectiveness?

Low-cost producer in an industry can be especially effective when the market is
Composed of many price-sensitive buyers, when there are few ways to achieve product differentiation, when buyers do not care much about differences from brand to brand, or when there are a large number of buyers with significant bargaining power The basic idea is to under price competitors and thereby gains market share and sales, driving some competitors out of the market entirely. Page#86

Question No: 31 (Marks: 5)

What are the major stakeholders that affect pricing decisions?

Following are the five major stakeholders which affect pricing decisions.

1. Governments
2. Suppliers
3. Distributors
4. Consumers
5. Competitors page#62

Question No: 32 (Marks: 5)

Mergers or acquisitions are the methods by which two companies combine to form a larger company. What can be the reasons for achieving mergers or acquisitions?

- ✓ The 1st reason for acquisition and merger to combine is that they believe that synergy exist and by joining both of us can achieve something more than we can get individually.
- ✓ Acquisition and merger join to spread its risks and exploit new markets.
- ✓ The idea is that the larger firm resulting from the merger can produce more cheaply than the previously separate firms.
- ✓ firms may derive tax advantages from a merger or acquisition
- ✓ Gain new technology
- ✓ Gain economies of scale
- ✓ Improve capacity utilization

Question No: 32 (Marks: 5)

Give at least two examples of multinational or local firms that are operating in Pakistan and have initiated backward integration. Justify your answer?

Explain concentric diversification strategy with the help of two examples of local or multinational firms operating in Pakistan?

1. **List down and explain five steps that comprise an effective framework for conducting an EFE Matrix.**

Five-Step process:

- ✓ **List key external factors** (10-20)

 Opportunities & threats

You have to prepare a list of all external factors which will affect the EFE matrix. These factors should be

two points to be kept in mind these are opportunities and threats.

- ✓ **Assign weight to each** (0 to 1.0)

Sum of all weights = 1.0

Now you have to arrange them according to their weight age that which factor is most important. It should

be weight age in % ages. The sum of the total of all the factors should always be one.

- ✓ **Assign 1-4 rating to each factor**

• Firm's current strategies response to the factor: how well firms response to these factors.

- ✓ **Multiply each factor's weight by its rating**

• Produces a weighted score

How the firm will respond to these factors external factors. Such criteria are known as rating.

- ✓ **Sum the weighted scores for each**

Determines the total weighted score for the organization.
• Highest possible weighted score for the organization is 4.0; the lowest, 1.0. Average = 2.5
PAGE#44

Q_1) what is average collection period? (3 marks)

The approximate amount of time that it takes for a business to receive payments owed, in terms of receivables, from its customers and clients.

Calculated as:

$$\text{Average Collection Period} = \frac{\text{Days x AR}}{\text{Credit Sales}}$$

Where:
Days = Total amount of days in period
AR = Average amount of accounts receivables
Credit Sales = Total amount of net credit sales during period
http://www.investopedia.com/terms/a/average_collection_period.asp

Q_2) Suppose according to the EFE matrix, the weighted score of a certain company is 2.10. How that company will interpret this score in terms of its external factors? (3 marks)
see page#44 to 45

Q_3) joint ventures are Lon lasting the relationship of the firms, why the joint ventures fails give the reasons? (5 marks)

Following are the reasons of failure of joint venture.

Cultural Differences

Cultural and ideological differences top the list. In evaluating joint venture partners, most companies don't perform a proper compatibility and integration analysis

Poor Leadership

Poor or unclear leaders are another top reason of joint venture failure. Too often, joint venture partners insist on sharing a project leadership role. When the parties disagree, a standoff occurs.

Insufficient Planning

Insufficient planning is also one of the most prevalent reasons for failed joint ventures. Too often, a joint venture "plan" consists of nothing more than a statement of each party's intended contributions to the project and their respective share of the profits.

Other Failure Reasons

Other reasons of joint venture failure include poor commitment; disagreement over operating policies, strategies, and tactics; and differences in the approach towards management style and systems

http://www.1000ventures.com/business_guide/jv_failure_reasons.html

Q_4) what are intensive strategies, explain each with relevant example? (5 marks

Intensive Strategies
Market penetration, market development, and product development are sometimes referred to as *Intensive strategies* because they require intensive efforts to improve a firm's competitive position with existing products.
Market Penetration
A *market-penetration* strategy seeks to increase market share for present products or services in present markets through greater marketing efforts. Market penetration includes increasing the number of salespersons, increasing advertising expenditures, offering extensive sales promotion items, or increasing publicity efforts
Market development involves introducing present products or services into new geographic areas. The climate for international market development is becoming more favorable. In many industries, such as airlines, it is going to be hard to maintain a competitive edge by staying close to home
Product Development
Product development is a strategy that seeks increased sales by improving or modifying present products or services. Product development usually entails large research and development expenditures. The U.S. Postal Service now offers stamps and postage via the Internet, which represents a product development strategy. Page#89

Question No: 29 (Marks: 3)

Explain test marketing and its significance for an organization.

Answer: Test markets allow an organization to test alternative marketing plans and to forecast future sales of new products. In conducting a test market project, an organization must decide how many cities to include, which cities to include, how long to run the test, what information to collect during the test, and what action to take after the test has been completed. Test marketing is used more frequently by consumer goods companies than by industrial goods companies. Test marketing can allow an organization to avoid substantial losses by revealing weak products and ineffective marketing approaches before large-scale production begins.page#61

Question No: 30 (Marks: 3)

Vertical integration is the degree to which the firm owns its upstream and its downstream buyers. What can be the possible benefits if the firm goes for vertical integration?

Answer: Benefits of vertical integration:

Allow a firm to gain control over:
- ✓ Distributors (forward integration)
- ✓ Suppliers (backward integration)

- ✓ Competitors (horizontal integration) page#81

What is the significance of Research and Development for an organization?

Answer:

Research and Development: The fifth major area of internal operations that should be examined for specific strengths and weaknesses is research and development (R&D). Many firms today conduct no R&D, and yet many other companies depend on successful R&D activities for survival. Firms pursuing a product development strategy especially need to have a strong R&D orientation.

The purpose of research and development are as follows:

- ✓ Development of new products before competition
- ✓ Improving product quality
- ✓ Improving manufacturing processes to reduce costs page#71

Question No: 31 (Marks: 5)

What are the five forces of Porter's Five Forces Model?

Porter's Five- Forces Model
The central point lays the stress on rivalry of the competing firm. This relates to the intensity of the rivalry. How the firms compete with each other and to what extent? That should be taken into account very carefully. Potential entry for new competitors shows a balance between different firms competing in a market. It also refers whenever a new partner enter into a market he may become threat for one and opportunity for other competing partners. As all the new entries and existing firms are competing with each other so the new entry will definitely make an effect on every one transacting in the market. A potential development of substitute products also develops an environment of competition in the market among the competing partners. As all firms want to compete in term of quality and substitute will lasts for longer in the market if the quality of the substitute will be greater than the existing alternate. Other factors also have a major impact on the substitutes. Collective bargaining power of suppliers and consumers: if vendors are less in the market and the organizations that have to purchase from those vendors are more then the demand for those suppliers will be more as the firms have to purchase from that less suppliers. The reverse is the case if suppliers are more and buyers are less. Then the demand for those suppliers will be less. Such circumstances create difficulties in bargaining.
These above five components constitute the basics elements for the competitive analysis. Page#43

Question No: 32 (Marks: 5)

Explain Merger and Acquisition with the help of examples (examples should be related to a multinational or local company operating in Pakistan)?

When we use the term "merger", we are referring to the merging of two companies where one new company will continue to exist. The term "acquisition" refers to the acquisition of assets by one company from another company. In an acquisition, both companies may continue to exist. **example** main polka and walls or milk pack and nestle

Question No: 31 (Marks: 5)

What are the two basic types of R & D that can take place in an organization?

Types of research and development

Basic research:
Basic research is experimental or theoretical work undertaken primarily to acquire new knowledge of the underlying foundation of phenomena and observable facts, without any particular application or use in view.

Applied research:
Applied research is also original investigation undertaken in order to acquire new knowledge. It is, however, directed primarily towards a specific practical aim or objective.

Experimental development:
Experimental development is systematic work, drawing on existing knowledge gained from research and/or practical experience, that is directed to producing new materials, products or devices, installing new processes, systems and services, or improving substantially those already produced or installed.

http://www.nifustep.no/English/Pages/STATISTICS/R_and_D_Statistics/About%20R%20and%20D%20Statistics/TypesofR_D.aspx?ItemId=1910&ListId=8252dfaf-6056-4ccc-b6e1-7806d4dc4878

Question No: 31 (Marks: 5)

Mr. Mansoor is a finance manager of a firm. He is asked to prepare a financial ratio analysis. What can be the possible limitations of his analysis?

Financial ratio analysis is not without some limitations. First of all, financial ratios are based on accounting data, and firms differ in their treatment of such items as depreciation, inventory valuation, research and development expenditures, pension plan costs, mergers, and taxes. Also, seasonal factors can influence comparative ratios. Therefore, conformity to industry composite ratios does not establish with certainty that a firm is performing normally or that it is well managed. Likewise, departures from industry averages do not always indicate that a firm is doing especially well or badly. Page#67

Question No: 41 (Marks: 5)

A good mission statement should include "Customer orientation", what does it mean? Explain it with the help of simple examples.

Customer orientation definition: customer orientation is a set of activities undertaken by a company for the purpose of supporting beliefs in sales that allow considering customer needs and satisfaction as the major priorities of the company. Read the **customer orientation template** to find out how to undertake and maintain **customer oriented processes** in your organization.

Example:

This is the way AT&T's mission statement focuses on communication rather than telephones and ONGC's mission statement focuses on energy rather than oil and gas page#24

Question No: 42 (Marks: 5)

What are strengths and weaknesses of an organization? Explain with the help of examples.

The *strengths* and *weaknesses* internal to the organization we can define as:

Strengths: characteristics of the business or team that give it an advantage over others in the industry. **Examples**: As far as organizations go, strengths can include a known brand name and reputation, good quality service or products, a strong management team, and a strong sales staff. An individual can have strengths with a good word-of-mouth reputation and strong experience in an area of knowledge.

Weaknesses: are characteristics that place the firm at a disadvantage relative to others.

EXAMPLES.

* Poor quality goods or services.
* Damaged reputation.
* Undifferentiated products or services (i.e. in relation to your competitors).

Question No: 41 (Marks: 5)

Critically analyze this statement, "Internal audit provides more opportunity **for participants to understand how their jobs, departments, and divisions fit into the whole organization than the external audit".**

an internal audit provides more opportunity for participants to understand how their jobs, departments, and divisions fit into the whole organization. This is a great benefit because managers and employees perform better when they understand how their work affects other areas and activities of the firm. For example, when marketing and manufacturing managers jointly discuss issues related to internal strengths and weaknesses, they gain a better appreciation of issues, problems, concerns, and needs in all the functional areas. PAGE#50

Question No: 42 (Marks: 5)

What are strategies? Discuss their significance for an organization.

Definitions :

- Strategy refers to a plan of action designed to achieve a particular goal.
- Alternative chosen to make happen a desired future, such as achievement of a goal or solution to a problem.

significance for an organization:

- ✓ Strategy is more important than ever, particularly for organizations that want to differentiate themselves from others.
- ✓ The core aspects of strategies are to sustain a competitive advantage on other organizations
- ✓ Managers are at all time should be involved in implementing the set strategies.

- ✓ Strategic implementation entails the transformation of an organization strategies plan into action and ultimately into a result
- ✓ It increase its capacity to compete on the basis of its intellectual competencies

Question No: 41 (Marks: 5)

If CPM matrix reveals total weighted score of

_ A is 2.50

_ B is 1.50

_ C is 3.24

From above given data, how would you interpret the total weighted score of each firm and compare firm B with firm A and firm C.

B is the weakest firm as compared to A and c (for more detail see page#46)

Question No: 42 __ (Marks: 5)

Staffing is one of the functions of managers. Enlist and describe any five basic activities to be performed under the faction of staffing?

Staffing activities are centered on personnel or human resource management. Included are wage and salary administration, employee benefits, interviewing, hiring, firing, training, management development, employee safety, affirmative action, equal employment opportunity, union relations, career development, personnel research, discipline policies, grievance procedures, and public relations page#53

Question No: 41 (Marks: 5)

"Strategists today must possess skills to deal more legalistically and politically than Previous strategists". Elaborate this statement?

Strategists today must possess skills to deal more legalistically and politically than previous strategists, whose attention was directed more too economic and technical affairs of the firm. Strategists today are spending more time anticipating and influencing public policy actions. They spend more time meeting with government officials, attending hearings and government-sponsored conferences, giving public speeches, and meeting with trade groups, industry associations, and government agency directors. Before entering or expanding international operations, strategists need a good understanding of the political and decision-makings processes in countries where their firm may conduct business. For example, republics that made up the former Soviet Union differ greatly in wealth, resources, language, and lifestyle. Page#36

Question No: 42 (Marks: 5)

Explain any two intensive strategies with examples?

Product Development:

Developing and modifying new products and offering to the existing market is called product development strategy

Example: Google develop a new browser Chrome for the existing internet user

Market development:

Developing a new market for the existing company product is called market development strategy. It Involves introducing present products or services into new geographic areas.

EXAMPLE: Pakistan state oil (PSO) developing new market by exporting oil to Afghanistan Page#90